

US Media & Telecom

Netflix Inc

Rating

Outperform

Price Target



95.00 USD (100.00 OLD)



Laurent Yoon
+1 917 344 8502
laurent.yoon@bernsteinsg.com



Martin Boruchowicz
+1 917 344 8564
martin.boruchowicz@bernsteinsg.com



Andrew Chung
+1 917 344 8302
andrew.chung@bernsteinsg.com

Netflix (NFLX) 2Q26: Same-ish guide, more doubts

Netflix is trading down ~9% in after-hours trading, implying a valuation of <18x '27E EPS. While the reaction reflects near-term investor disappointment, we do not believe the current valuation adequately captures Netflix's mid/long-term potential. PxQxM(argin) fundamentals remain intact, and we expect revenue, margins, and earnings growth to track management's objectives. That said, Netflix faces [no shortage of near-term questions](#), with no obvious positive catalyst on the horizon. 5 key takeaways for us:

Let's do the numbers. Q2 revenue, EBIT, and EPS were generally in line with expectations, albeit a miss on UCAN revenue. Content amort came in lower than expected, contributing to the small earnings beat.

Revenue guidance remains within range, but not good enough. While Netflix maintained its full-year revenue outlook at 14% growth (rounded up...), the implied FxN revenue growth has shifted from 11-13% range to 12%. [As discuss previously](#), this may reflect subscriber growth challenges in 1H and raises the question whether growth is decelerating faster than previously anticipated.

Margin still at 31.5%. With 1H in the books, Netflix should have good visibility into its 2H content spending schedule and the trajectory of advertising revenue and margins, either of which could have supported an upward revision to the 31.5% target. By reiterating the guide, management has left investors debating whether it is simply being conservative or seeing reasons for caution. For now, investors appear to be leaning toward the latter view, particularly given the lack of a meaningful near-term before the next print. *Summary continues on the following page...*

Investment Implications

We maintain an Outperform rating on Netflix with a revised PT of \$95 (~\$5). Increase in FY27 EPS estimates is primarily driven by an acceleration in share repurchases in 2Q, with total FY26 buybacks now expected to be ~\$9B (vs. ~\$5.5B prior). FY26 EPS remains unchanged, as accelerated buybacks are offset by higher than expected technology expenses in 2Q, leading to lower FY26 operating margins (31.65% vs ~31.8% prior). We also reduced our valuation multiple by one turn (from 26x to 25x) to reflect ongoing negative investor sentiment without a near-term positive catalyst.

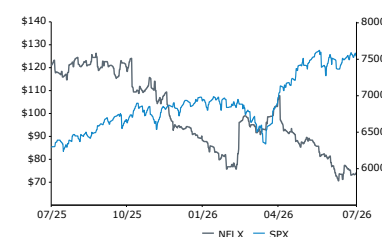
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
NFLX (USD)	2.53	3.15	3.87	EBITDA (M)	13,660	16,641	19,994	--	Adjusted P/E (x)	29.4	23.6	19.2
OLD	--	--	3.83	Revenues (M)	45,183	51,346	57,455	--	EV/EBITDA (x)	23.3	19.1	15.9
				EBIT (M)	13,327	16,251	19,579	--	EV/EBIT (x)	23.9	19.6	16.3

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	16 Jul 2026			
NFLX Close Price (USD)	74.35			
Price Target (USD)	95.00			
Upside/(Downside)	28%			
52-Week Range	127.75/70.86			
SPX	7,533.77			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	313,073			
EV (USD) (M)	318,254			
Performance	YTD	1M	6M	12M
Absolute (%)	(20.7)	(5.6)	(15.5)	(40.5)
SPX (%)	10.1	0.3	8.6	20.3
Relative (%)	(30.8)	(5.8)	(24.1)	(60.8)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

Summary continued...

And finally... engagement. Netflix makes a valid point that engagement volume alone is an insufficient measure of performance. Live programming, for example, represents ~5% of content spend and only ~1% of viewing, but drives subscriber acquisition disproportionately—quality matters, a lot. That said, those new members should ultimately engage with the broader content library as well, supporting, again, engagement growth more broadly. While the decision to reduce engagement disclosures may be well-intended, the timing didn't help improve investor sentiment. In the absence of subscriber disclosures or other leading indicators of operating health, investors are likely to rely on third-party data, and the resulting 'noise' is unlikely to subside.

Expect Netflix to do more. Netflix appears to be addressing engagement challenges head-on. At its core, this is a growth question, and the company is expanding into new content formats and categories, including mid/short-form, linear programming, and vertical content, in an effort to deepen engagement and sustain long-term growth.

RELEVANT RECENT NOTES

9 Jul 2026 - [NFLX: Key takeaways from 2Q26 streaming webinar - Q2 had some challenges & 2H unlikely an easy one; all eyes on advertising](#)

8 Jul 2026 - [NFLX Q2: More than a quarter - key debates heading into the print](#)

7 Jul 2026 - [US Media: The cost of growth - the return of rising content spend](#)

30 Jun 2026 - [Comcast \(CMCSA\): The Optionality Spin](#)

23 Jun 2026 - [Netflix: At 52-lows, we expect continued near-term volatility](#)

4 Jun 2026 - [Netflix: Messy Near-Term Narrative, but a Durable Engine](#)

22 May 2026 - [Weekend Media Blast: The Battle of 16:9 vs 9:16](#)

20 May 2026 - [State of the Media Industry \(1Q26\): Industry grows with steady margins - calm before the storm?](#)

14 May 2026 - [Netflix to launch AVOD-tier in 15 more countries in 2027 - more about 'Q' than \\$](#)

17 Apr 2026 - [Netflix 1Q26: Streaming Growth, Buffering Margins?](#)

1 Apr 2026 - [NFLX: Deconstruction of Netflix's content spend and implications on '26 EPS](#)

27 Mar 2026 - [NFLX: Price hike secures double-digit revenue growth in '26](#)

19 Mar 2026 - [NFLX: Engagement - more nuanced than the headline](#)

12 Mar 2026 - [NFLX: What is the range of EPS upside for 2026?](#)

4 Mar 2026 - [State of the Media Industry \(4Q25\): Margin pressure on deck](#)

NFLX reported its 2Q26 results after the market close.

- **Revenues grew by +13% Y/Y (on reported and +12% on FxN basis) to \$12.6B in 2Q26, slightly below the company's previous guidance and consensus estimates.**
 - APAC led revenue growth on a FX Neutral basis and was up by 18% YoY (16% w/ FX). It was followed by LATAM with 16% growth YoY on a FX Neutral basis (21% w/ FX). EMEA grew by 11% YoY (14% w/ FX) and UCAN grew 10% YoY on a FX Neutral basis.

- **The company guided to \$12.86B of revenue for 3Q26, which is equivalent to +11.7% YoY and slightly lower than consensus.**
- Netflix' management mentioned that they have three areas of focus to achieve their goals: **1) delivering more entertainment value to members, 2) leveraging technology to improve service, and 3) improving monetization.**
- **Netflix shared that they will reduce the frequency of their "What We Watched" report, which discloses the quantity of view hours watched on the platform, from a semi-annual to an annual publication.**
- **Management explained that there isn't a linear relationship between view hours and revenue**, and that they measure engagement by more than just quantity of view hours but also the quality and variety of their offering. For example, live events and animation both represent about 5% of the content budget. However, they represent 1% and 8% of view hours respectively. The company estimates that both contribute similar value to the business despite one producing 8x the viewing than the other because 6 out of the top 10 new member sign-up days over the past 5 years have come from live events.
- **Netflix shared that they are encouraged with early video podcast performance.** Approximately half of Netflix' viewing occurs in the evening, but the recently launched video podcasts over-index on viewing during the day and on mobile devices, which is an indicator of engagement being incremental.
- **Netflix shared that its recent price changes have gone well.** Additionally, they mentioned that they are always testing the best ways to bring new members to the platform, and that includes testing free trials for non-rejoining new members in a number of countries, and potentially even having a free AVOD tier in some cases down the line if advertising monetization improves and there is no cannibalization of paid tiers.
- **Margins beat expectations at 33.4%. However, 3Q26 operating margin guidance was only 33.2% vs. consensus estimates of 33.5%.** Management reiterated its amortization YoY growth guidance of 10% for 2026 (higher than the 8% averaged over the last five years). Amortization growth was 12.5% in 2Q26, but management still expects content amortization to grow slower in the second half of the year.
- **FCF reached \$1.5B for 2Q26 (vs. \$2.2B in 2Q25). The decrease was driven in part by the higher cash tax payments related to the WBD termination fee. The company reiterated 2026 full year FCF guidance of \$12.5B (which had been increased from \$11B in the previous quarter due to the WBD termination fee),** and continues to assume that the ratio of cash content spend to content amortization remains at ~1.1x.
- **Share repurchases during 2Q26 totaled \$4.7B, the largest quarter of share buybacks.** The company now has \$27.1B left of buybacks authorizations since the board approved an additional \$25B in April.

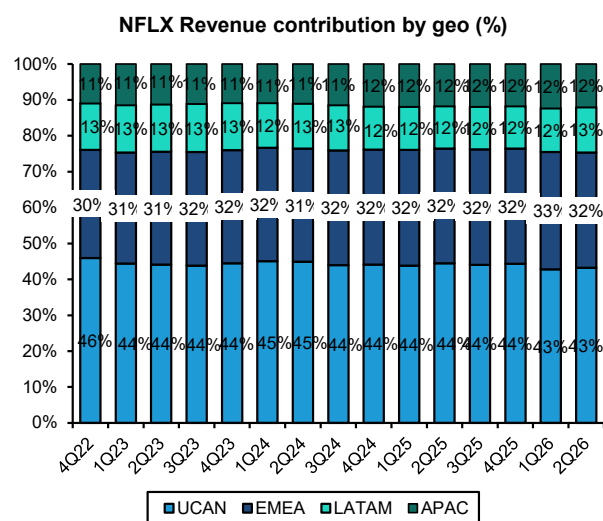
EXHIBIT 1: **Netflix 2Q26 Results vs Expectations****Netflix 2Q26 Earnings First Look**

KPI	2Q25A	2Q26 Consensus	2Q26A	YoY Growth (2Q26 vs 2Q25)	Beat/(Miss) %
Total Revenue (\$M)	\$11,079	\$12,575	\$12,560	13.4%	(0.1%)
UCAN Revenue (\$M)	\$4,929	\$5,523	\$5,432	10.2%	(1.7%)
EMEA Revenue (\$M)	\$3,538	\$4,015	\$4,034	14.0%	0.5%
LATAM Revenue (\$M)	\$1,307	\$1,505	\$1,584	21.2%	5.3%
APAC Revenue (\$M)	\$1,305	\$1,522	\$1,510	15.7%	(0.8%)
Operating Income (\$M)	\$3,775	\$4,124	\$4,193	11.1%	1.7%
Operating Margin (%)	34.1%	32.8%	33.4%	(0.7%)	1.8%
Diluted EPS (\$)	\$0.72	\$0.79	\$0.80	11.1%	1.3%
Content Amortization (\$M)	\$3,832	\$4,441	\$4,311	12.5%	(2.9%)

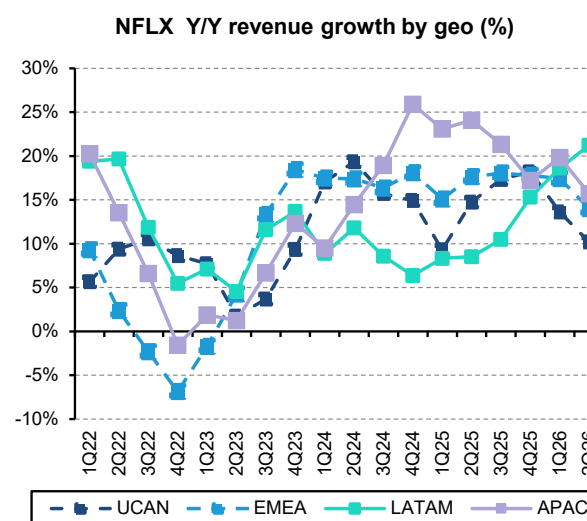
Guidance Tracker

KPI	Current Guidance	FY26 Consensus	New Guidance	Direction
Revenue (\$M)	\$50,700 - \$51,700	\$51,328	\$51,000 - \$51,400	
Revenue Growth YoY (%)	12% - 14%	13.6%	13% - 14%	Narrowed Range
Operating Income (\$M, implied)	\$15,971 - \$16,286	\$16,262	\$16,065 - \$16,191	
Operating Margin (%)	31.5%	31.7%	31.5%	Reiterated

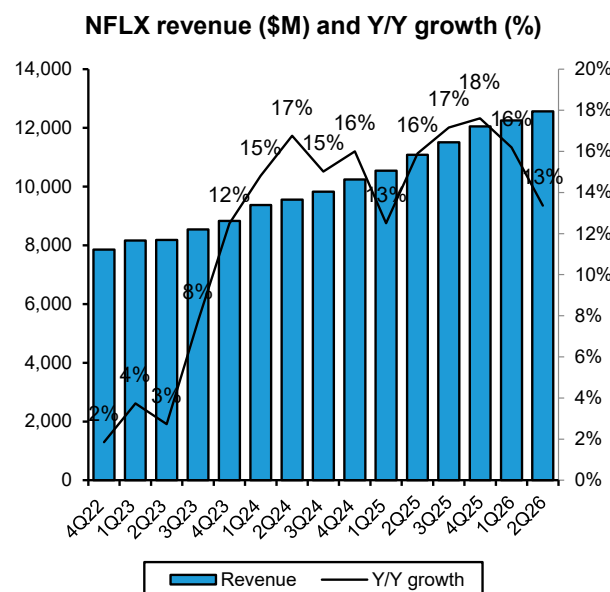
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 2: **Netflix Revenue contribution by region**

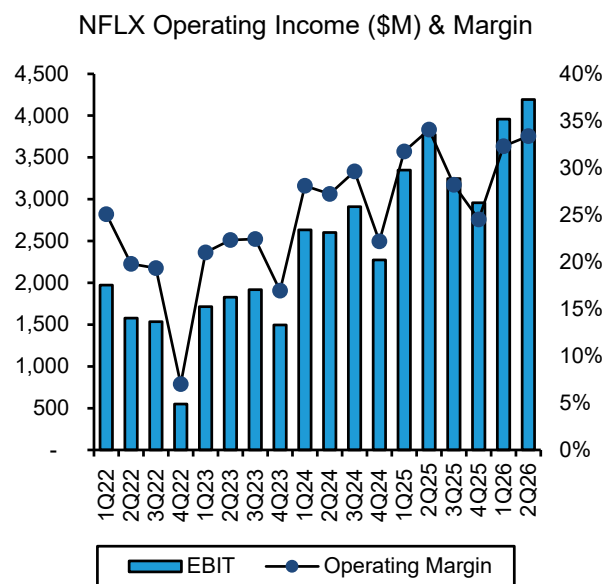
Source: Company reports, Bernstein analysis

EXHIBIT 3: **NFLX revenue growth by region**

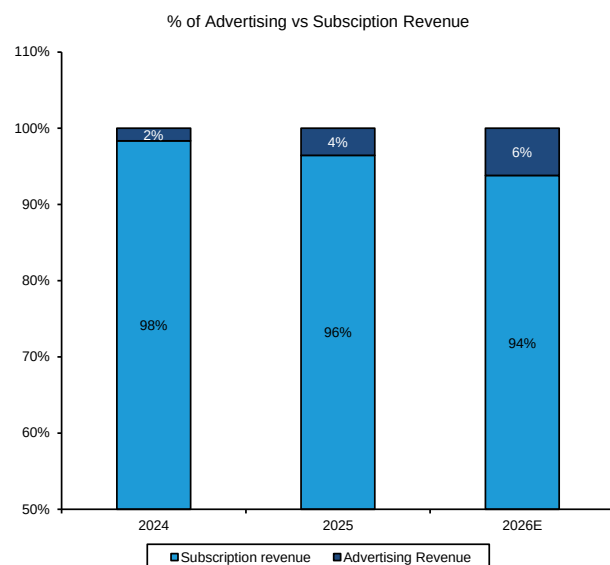
Source: Company reports, Bernstein analysis

EXHIBIT 4: **NFLX total revenue and revenue growth**

Source: Company reports, Bernstein analysis

EXHIBIT 5: **Netflix operating income and margin**

Source: Company reports, Bernstein analysis

EXHIBIT 6: **Netflix advertising vs subscription revenue**

Source: Company reports, Bernstein estimates & analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 7: NFLX Financial Summary

in millions except per share and percentage data

NFLX	1Q26	2Q26	3Q26E	4Q26E	FY2025	FY2026E	FY2027E
GAAP INCOME STATEMENT							
Revenue	12,250	12,560	12,865	13,672	45,183	51,346	57,455
Cost of Revenue	5,888	6,037	6,321	7,032	23,275	25,279	27,395
Marketing expense	842	824	837	1,219	3,301	3,722	4,072
Technology and development	960	1,008	954	1,010	3,391	3,931	4,112
General and administrative	603	499	515	547	1,888	2,163	2,298
Total Expenses	8,293	8,367	8,627	9,808	31,856	35,096	37,876
EBIT	3,957	4,193	4,238	3,863	13,327	16,251	19,579
D&A	99	101	93	99	333	391	415
EBITDA	4,056	4,293	4,331	3,962	13,660	16,641	19,994
Other Expenses (Benefits)	-1,326	791	798	653	2,345	916	3,418
Net Income	5,283	3,401	3,439	3,211	10,981	15,334	16,161
Weight Avg. Diluted Shares	4,298	4,261	4,241	4,221	4,344	4,256	4,171
GAAP EPS (Diluted)	1.23	0.80	0.81	0.76	2.53	3.60	3.87
Adj. EPS (Diluted)	0.78	0.80	0.81	0.76	2.53	3.15	3.87
GAAP Margins:							
Gross Margin	52%	52%	51%	49%	48%	51%	52%
EBIT Margin	32%	33%	33%	28%	29%	32%	34%
EBITDA Margin	33%	34%	34%	29%	30%	32%	35%
Y/Y Growth (GAAP):							
Revenue	16%	13%	12%	13%	16%	14%	12%
BALANCE SHEET & CASH FLOW							
Cash and Cash Equivalents	12,260	9,099	10,709	11,709	9,034	11,709	18,143
Content assets, net	33,376	33,838	34,093	34,396	32,778	34,396	36,332
Property and equipment, net	2,148	2,399	2,487	2,581	2,004	2,581	2,974
All other	13,232	13,115	13,412	14,416	11,781	14,416	16,083
Total Assets	61,016	58,450	60,701	63,102	55,597	63,102	73,532
Streaming content liabilities	5,679	5,492	5,492	5,492	5,664	5,492	5,492
All other	24,211	22,806	22,989	23,542	23,317	23,542	24,437
Total Liabilities	29,890	28,298	28,481	29,034	28,982	29,034	29,929
SBC-Adj. FCF	4,954	1,394	2,981	2,363	9,093	11,692	13,059
SBC-Adj. FCF Margin	40%	11%	23%	17%	20%	23%	23%

Source: Company reports, Bernstein estimates & analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	16 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
NFLX (Netflix)	O	USD	74.35	95.00	(60.8)%	USD	2.53	3.15	3.87	29.4	23.6	19.2
OLD				100.00					3.83			
SPX			7,533.77									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Netflix Inc**

We value NFLX's shares at a 25x multiple (rounded) on FY27 EPS estimates of \$3.87 (PT of \$95).

RISKS**Netflix Inc**

Downside risks: - AVOD does not lift ARM in UCAN as much as expected. Digital advertising may not recover as quickly or as strongly as we modeled which could lead to lower ARM, particularly in UCAN. Netflix could lose subscribers as streaming gets increasingly competitive. Streaming is getting increasingly competitive with big tech investing more in the space. Competition from social platforms with user generated content. Short form videos are taking users eyeballs, which could have a long term impact on engagement.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

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- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
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Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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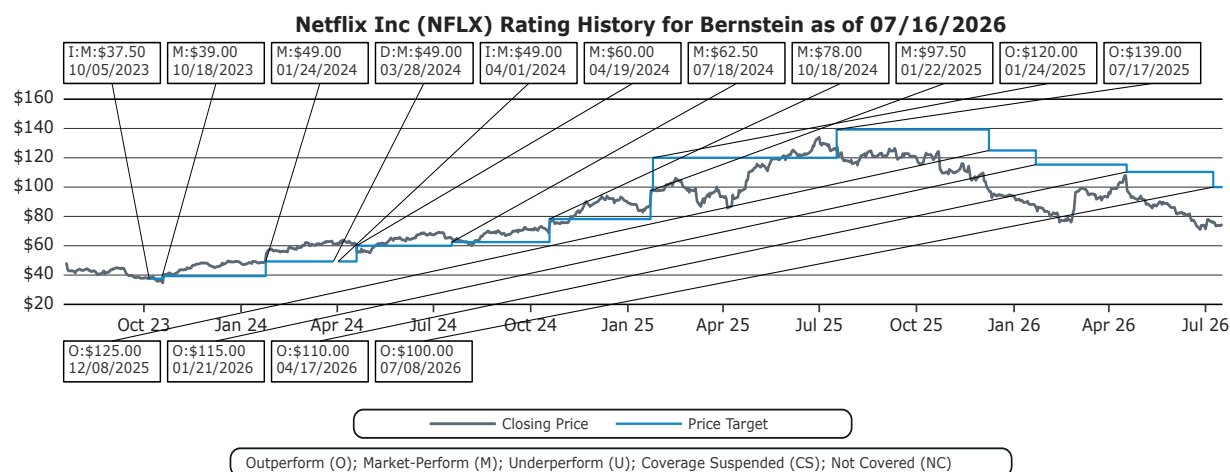
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Netflix Inc.



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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